

Conforming amendments to Chapter IX of the OECD TPG Comments by NERA Economic Consulting¹

August 16, 2016

to TransferPricing@oecd.org

to the Tax Treaties, Transfer Pricing and Financial Transactions Division, OECD/CTPA

Dear Sir, Dear Madam,

In the context of the BEPS Action Plan, Working Party No. 6 of the OECD has released on July 4, 2016, a document for public review (the “Draft”) outlining Conforming amendments to Chapter IX of the OECD Transfer Pricing Guidelines (“TPG”). The Draft aims at factoring in, at the level of Chapter IX, the changes - approved on May 23, 2016 by the Council- brought by the 2015 Base Erosion and Profit Shifting Reports to the Chapters I, VI and other Chapters of the TPG. These changes stem in particular from the 2015 BEPS Report on Actions 8-10, “Aligning Transfer Pricing Outcomes with Value Creation”.

We thank you for the opportunity to provide comments on this document.

1. Introduction

Chapter IX has a particular place in the TPG and in the heart of transfer pricing experts. Prior to the 2015 Action 8-10 BEPS Deliverable, it was in Chapter IX that a number of key concepts were first pioneered². One can cite: (i) the framework for risk, (ii) the concept of Options Realistically Available (ORAs), (iii) the primacy of conduct of the parties over legal formalism, (iv) the need for holistic view of transactions and business relationships, etc. The new version of Chapters I and VI have now built upon these concepts and rightfully expanded their use to non-business-restructuring situations.

Consequently, we believe a conforming review of Chapter IX to be timely and legitimate. As such, we would like to offer the following comments.

¹ These comments represent independent views of the authors and do not necessarily reflect the views of NERA Economic Consulting.

² To various extents.

2. We believe most of the proposed conforming amendments to be justified...

As a general comment, we believe the general work of simplification and rationalization by the OECD to be largely positive. In particular:

- The “special considerations for risks” in former Part I are now largely embedded within Chapter I and VI. As such, a specific consideration in Chapter IX is no longer required.
- The replacement of the former Part IV, discussing “transaction recognition”, by the new section B.1. on delineation does add clarity and consistency to the Transfer Pricing Guidelines.

Of course, one could have hoped the OECD to be even bolder in its changes.

Business restructurings can take many shapes, but the common line is to understand what drives the restructuring and what changes it comprises in roles and responsibilities for the entities involved in the (continued) context of joint value creation. This is the subject of the examination (see also 9.19) of the facts of the restructuring, which should lead to identifying the business case for it. The identification of the value created by the restructuring is a holistic exercise: it is the starting point for the analyses of the treatment of the parties involved under the arm’s length principle.

By focusing on clarifying the principles at stake (in particular: the arm’s length principle also fully applying to business restructurings), we believe that Chapter IX could probably have been reduced to a fraction of its current size. The apology at the end of par 9.6 is illustrative in this respect: “qui s’excuse, s’accuse”?

By the same token, we believe that the wide use of examples (pars 9.15, 9.19, 9.21, 9.65, 9.70 etc.) risks to add little and rather come forward as “kicking in open doors”.

3. ... with a few – but very important – exceptions...

3.1. Administrative formalism

The OECD does good work at outlining how legal aspects, of different types, may have an impact on the analysis of a right to indemnification at arm’s length. In this regard, we find the discussion in section F.2 on “Whether the existence or absence of an indemnification clause or similar provisions (as well as the terms of such a clause where it exists) under the terms of the arrangement, as accurately delineated, is arm’s length.” to be of importance.

Yet, we believe that the OECD should make it clearer that in certain circumstances, the conduct of the parties in terms of pure administrative formalism – such as the way to arrange the contracts, the way to terminate them - may not be relevant in the analysis.

Typically, a failure by a party, in an intercompany context, to comply with the applicable termination notice provisions may not always be relevant. That may be the case when for example (i) the termination was not formally notified in due time, as per the intercompany context, but, at the same time (ii) the actual business conduct of the parties show that both parties had in fact been notified in due time of such termination.

The OECD had managed give the consideration of legal arrangements in the context of intangible transactions their right place, by acknowledging that, in certain circumstances, the conduct of parties may override intercompany legal arrangements. Similarly, the OECD should have been bolder in introducing more clearly some level of flexibility in business restructuring contexts, as regards the way to take into account legal arrangements and the parties' formal compliance with them.

3.2. Identifying the parties to the transaction

The new section F.3 provides some very helpful clarification on how to determine which party should ultimately bear the restructuring costs, stating the principle that the indemnification should be paid by the party ultimately benefiting from the restructuring.³

This clarification is welcome, but leaves unaddressed many questions on the identification of the parties to the transaction.

The Draft re-emphasizes that Business Restructurings fully qualify as intercompany transactions⁴. Transactions are bilateral dealings. Similarly, the OECD MTC and article 9 are, in essence, bilateral.

Yet, we believe that one of the most unique features of Business Restructuring transactions is that parties may not always be easily evidenced.⁵ This triggers very concrete issues when dealing with Business Restructuring.

³ §9.97: "In cases where the benefits arising from the restructuring accrue to another party in the MNE group, then that other party may bear the costs of indemnification, either directly or indirectly."

⁴ S See §9.9: "*the arm's length principle and these Guidelines do not and should not apply differently to restructurings or post-restructuring transactions than to transactions that were structured as such from the beginning*".

⁵ In particular when these transactions only exist from a transfer pricing perspective with no accounting entry or legal existence (e.g. application of Group's instructions).

One may for instance take the application of the ORA framework in a Business restructuring: the bargaining power of a given party will be vastly different if we assume it to be, for the application of the arm's length principle, in a bilateral or in a multilateral relationship between parties involved in a restructuring⁶.

Should the F.3. approach be considered in this regard? We believe that at this stage, many field auditors would disregard such an approach in practice, ignoring further guidance from the OECD.

More generally, we find in the Draft a too direct focus on analysis at the level of transactions that tend to be seen as bilateral phenomena, while there usually is so much more involved in restructurings. It is indicative that the proposed text continuously (starting with par 9.10) speaks of "transactions that comprise a business restructuring". In reality, it is the other way around: what we should do is take the Business Restructuring (and its business case) as starting point and identify the transactions that the Business Restructuring comprises.

4. ... but to fail to take full advantage of the concept of relational transfer pricing

In its original form, Chapter IX lacked a meaningful component on "value" and "value creation". Although Chapters I and VI expand on this, we find that proposed Chapter IX still treats "value" as a poor relation.

We think that the OECD fails to take full advantage of the concept of relational transfer pricing, outlined in the new Chapters I and VI.

One other⁷ largely unique feature of Business Restructurings is that to be properly analyzed under the arm's length principle, they need to be analyzed over the full length of the relationship between parties.

⁶ For instance, the outcome of an arm's length negotiation shall be vastly different if the party to the business restructuring in country A is, for instance :

- The legal entity, on a stand-alone basis,
- The legal entity, with all its subsidiaries, or
- The legal entity, together with all the other companies in the group, to the exception of its counterpart in the transaction under review.

⁷ By reference to the fact that parties to the transaction may be difficult to identify see 3.3

A number of Business Restructuring situations may give the false impression that they give rise to a compensation right or a transfer of intangible only because the “Group” is seemingly taking away a profit potential which was there in the first place only because of the Group’s local involvement.

The right framework to analyze Business Restructurings under the arm’s length principle should ultimately consider the balance of the value contribution of each party over the longer term, so that the terms of the business restructuring allocate to each of the parties a return commensurate with their total long term contribution to the joint value creation, as would happen at arm’s length between unrelated parties.

The concentration in the proposed Chapter IX on transactions as a means to evaluate the arm’s length character of the resulting consequences for individual parties to a business restructuring tends to favour the use of generalized characterizations of roles and responsibilities that do not necessarily capture the essentials and to leave insufficient attention for the business case as a whole. In today’s business environment, changes are such that they trigger new roles and new ways of performing existing roles as a consequence of the fact that, in the “digital economy”, location has become of relative importance. A group company that operates its enterprise in a certain jurisdiction and as a consequence of restructuring now starts to act simultaneously as part of the enterprise of a related company may also encounter permanent establishment issues. Issues like that can only be dealt with by way of an analysis of value involved for the business as a whole as well as for the individual entities involved. This can only be grounded in a dynamic value chain analysis. The new Chapter IX should be more explicit in this respect.

Pim Fris, Guillaume Madelpuech
Paris

Appendix A. Additional specific textual suggestions

9.1: Suggest to delete: “cross-border”.

9.2: Suggest to add: Business restructurings “can take many shapes, but in TP terms” may often...

9.9, 2nd line: Suggest to replace “or” by “and”.

9.10, 5th and 8th line: Suggest to replace “that comprise the business restructuring” by “that the business restructuring comprises”.

9.11, 2nd line: Same as for 9.10.

9.13, 4th line: Same as for 9.10.

9.17: Same as for 9.10.

9.19: Suggest to add: ...context of business “and therefore of also of” restructurings...

9.19 (2): 8th line speaks of “examination”, and 10th line of “such analysis”; please note that an “examination” concerns the facts and the business case of a restructuring, and is followed by an “analysis” of the consequences.

9.27: last line: Suggest to add ...comparability analysis “(that follows and complements the examination of facts)”, to understand....

9.35, 1st line: Suggest to replace “lead MNE groups to implement” by “are the consequence of MNE groups implementing”

9.37, 2nd line: Suggest to add ... separate entities “(although in their relations as they are)” rather than....

9.42, 3rd line: Suggest to add ...parties, “including the consequences for roles and responsibilities in joint value creation”, what...

9.54, 3rd line: Same as for 9.10.

9.94, 12th line: Same as for 9.10.

9.108, 1st sentence: Suggested wording: “Design and implementation of a TP system”